inevitable outcome in a Ponzi scheme that runs its full course. Sudipto Sen, the chairman of the group, tried to raise additional funds but failed. In the face of the rapidly intensifying investor agitation, he wrote an eighteen-page confessional letter to the CBI admitting that he had paid large sums of money to several politicians and was blackmailed into investing money mobilized from the public in dubious and loss-making investments. Sen fled on 10 April after posting his confessional letter, and in his absence, the Ponzi scheme unravelled. Despondency quickly spread across Bengal, leading to massive street rallies and angry protests targeting both the state government and Saradha agents. In a story titled 'Banking on Lies', the *Business Standard* of 26 April 2013 said: 'While Sen is in prison, it is left for his agents to face the ire of the depositors. Kalipada Naskar, 60, looks disturbed as he stands facing Saradha's registered office in Salt Lake's Sector V. He became a Saradha agent a year ago after he was told that he could earn up to ₹15,000 a month in commissions and also get retirement benefits. Ever since Sen's business went belly up, depositors have hounded Naskar and 3,00,000 other Saradha agents. Some call him names, others threaten him with dire consequences. "I am helpless, I am sick," says Naskar. A few blocks away, about fifteen people have assembled outside another office of Saradha. These are the depositors who have come to inquire about the fate of their investments. The crowd includes old and young people, mostly poor. It's a heart-wrenching scene.'

An arrest warrant for Sudipto Sen was issued the next day. By 20 April, the news of potentially the largest Ponzi scheme in India became front-page news nationally. After evading the authorities for a week, Sudipto Sen and two of his associated were arrested in Kashmir on 23 April 2013. On the same day, SEBI announced that both chain marketing and forward contracts were forms of collective investment schemes and officially asked the Saradha Group to immediately stop raising any further capital and return all deposits within three months.

Although Saradha was a high-profile implosion, it was by no means a stand-alone episode. For many years, eastern India, particularly West Bengal, had been a fertile ground for firms and outfits of questionable